

portfolio is expected to earn an arithmetic average of 7% per annum net of all fees. Remember that each month through her systematic withdrawal plan (SWiP), Stephanie liquidates as many units as necessary (more during a bear, less during a bull market) to create the desired income of \$750.

In contrast to Stephanie, Brett decides to implement a so-called “buckets” approach to retirement income generation. He places \$25,400 of his \$100,000 nest egg in cash instruments to cover the next 3 years (36 months) of \$750 per month expenses. The remaining \$74,600 is invested in a pure equity portfolio that (I am assuming) is expected to earn an average of 8% per annum. This bucket will not be touched or tapped for three years.

I have picked these numbers carefully. Brett has set aside precisely \$25,400 because I have assumed cash is yielding a constant and predictable 4.0% per annum. The present value of 36 monthly cash flows of \$750 at $4.0\% / 12 = 0.333\%$ per month is exactly \$25,400. This bucket of cash will generate the desired payments, and Brett will not have to liquidate any stocks (at a loss) if the market takes a tumble during the first three years of withdrawals, which is something I previously described.

Notice that if we focus on the total portfolio held by either Stephanie or Brett at the time of retirement, they both are expecting their total investment portfolio to earn 7% per annum. Stephanie selected a mutual fund that is projected to earn 7%, while Brett has 25.4% (that is, $\$25,400 / \$100,000$) allocated to cash earning 4.0% and 74.6% (that is, $\$74,600 / \$100,000$) allocated to equities earning 8%. This also works out to an average of 7%.

It is very important to keep track of the total asset allocation because it will have a direct impact on my subsequent arguments. In fact, all these return assumptions—that is, 4% for cash, 8% for equity, and 7% for the balanced fund—were not arbitrary. They were selected so that at the point of retirement Stephanie and Brett have the same initial asset allocation but different dynamic strategies. Otherwise, any comparison is meaningless.

One final assumption that I will now make for the sake of my counterexample, and this one is a bit artificial, is that equities as an asset class will earn one of only three possible investment returns with